

24PR00341 Estate of Armondo J Mendoza

County: santa-barbara

Division: Decedent's Estate

Department: 2 SM-Cook

Hearing date: 2026-09-29

Motion: Petition for Final Distribution

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Tentative Ruling: Estate of Armondo J Mendoza

Case Number

24PR00341

Case Type

Decedent's Estate

Hearing Date / Time

Tue, 09/29/2026 - 09:00

Nature of Proceedings

Petition for Final Distribution

Tentative Ruling

Probate Notes:

Appearances required.

The following is noted for the Court:

Statutory fee reduction. Not only did it take the administrator nearly two years to bring a simple estate to a close, but the Statutory Fee in this case is miscalculated and improperly apportioned, thus should be reduced. According to the Final Inventory and Appraisal filed on January 7, 2026, the value of the estate on the date of death was \$120,000. This value was entirely subsumed in a parcel of real property in which Decedent owned a 50% share. According to the allegations in the petition, the estate real property was sold for \$475,000. Thus, the gain on sale of Decedent's 50% is \$117,500. Together with

the \$736.39 in additional receipts, the statutory fee is calculated on \$238,236.39, for a total fee of \$7,764.72.

That fee was properly calculated by the Petitioner, but was wrongfully apportioned. Petitioner is an attorney. Attorneys may not be paid a statutory fee for both their service as a personal representative, and their service as an attorney. (Prob. Code, § 10804.) Even though petitioner was once represented by attorney's for Probate House, LC, the billing statements and primary work done on the administration of this estate was performed by Petitioner, not his former attorneys.

It is equally important to keep in mind that the entire administration of this estate is being performed by persons who are strangers to the estate, and are only involved in the administration of the estate to ensure their loans to the Decedent's spouse are repaid; loans this Court already severely limited compared to the grossly unreasonable repayment terms in the loan contracts at issue. It would defy logic for the Court to make the prior orders limiting the amount of the estate allowed to be paid to the loan company, and then let at least the previously disallowed amounts to be paid out in unearned statutory fees, unsupported extraordinary fees, and inflated costs.

In fact, it appears more likely that the predominant amount of legal work performed on this estate was in an effort to justify a grossly unreasonable rate of return on a usurious loan in the previous 11604.5 hearing.

As a result of these factors, the Court should reduce the statutory fee to just \$7,764.72 to be shared between Petitioner and his former attorneys as they agree upon at the hearing, or after the hearing on stipulation, pursuant to Probate Code section 12205.

Denial of extraordinary fees. Payment of extraordinary fees is not guaranteed, and the Court has wide discretion to decide whether to allow extra compensation, even when services of an extraordinary nature are rendered. (CRC, Rule 7.703(a). See also *In re Fulcher's Estate* (1965) 234 Cal.App.2d 710, 718 ["The general rule is that the probate court has a large discretion in the allowance of fees for extraordinary services rendered on behalf of the estate."] "[T]he burden of proving the necessity for the services is on the representative claiming extraordinary fees for himself and his attorney." (Ibid.)

The sale of real property is an ordinary and usual occurrence in the administration of a decedent's estate, thus does not automatically warrant extraordinary fees. Unless circumstances during the sale of real property require the estate to incur "legal services" not normally needed during the sale and escrow process, the high value of real estate in this state generates a statutory fee award that is usually sufficient to compensate the personal representative and the attorney. This is especially true when a real estate agent is used to effectuate the sale. The standard courts use is "legal services in connection with the sale of property held in the estate." (CRC, Rule 7.703(c)(1).)

For example, the Court may consider that the statutory fee calculated on an estate where the decedent's personal residence that was sold for \$475,000 is reasonable compensation, because no "legal services" were required to effectuate the sale of the property, other than brief contract review and associated tasks, and the policy behind statutory fee awards includes strong consideration of the complication of larger estates than that of smaller estates. (*In re Buchman's Estate* (1955) 138 Cal.App.2d 228, 235. See also *Estate of Getty* (1983) 143 Cal.App.3d 455 [discussing in dicta that massive statutory compensation can be sufficient to cover unexpected intricacies in estate administration]; and *Estate of Hilton* (1996) 44 Cal.App.4th 890, 912-16 [citing *In re Walker's Estate* (1963) 221 Cal.App.2d 792, 795] for the proposition that probate courts can disallow all extraordinary fees claims if they find statutory compensation sufficient, keeping in mind the legislature's policy of subsidizing fees in more complicated estates with those easily earned in less complicated estate ["The Legislature merely determined, in substance, that any undercompensation involved in handling small estates would be equitably adjusted in the long run by overcompensation in handling larger estates."].)

If the court determines "the sum allowed by law appears to be a reasonable compensation, even though the attorney may have performed some extraordinary services, it is within the sound discretion of the trial court to disallow claims for extra compensation, and, unless it appears that there has been an abuse of discretion, an appellate court is not at liberty to disturb the conclusion of the trial court. (*In re Fulton's Estate*, supra, 23 Cal.App.2d at p. 567.)

In this case, one need only review the work billed on the estate to determine extraordinary fees are not warranted. This estate consisted solely of a 50% interest in real property that was sold without incident, or need for legal work additional to normal estate administration. Despite a simple home sale which grossed roughly \$238,000, Petitioner requests this court order \$13,588 in statutory fees, and \$9,202 in extraordinary fees, which is 10% of the value of the estate, in addition to the \$25,000 (plus interest) that is being paid for the loan. All for taking nearly two years to administer the estate and bring it to a close.

In fact, if it were not for the involvement of the Petitioner and the loan companies in this case, this estate could have been completely administered and speedily passed to each heir via the procedure in Probate Code section 13150.

Accordingly, the Court should deny the extraordinary fees.

Reduction of reimbursement for costs. Petitioner claims \$3,968.49 for costs, but admits that at least \$163.00 of those costs were for postage and service fees, and \$500 is for costs that are estimated to file this petition. The Court should deny at least \$200 of the costs under Local Rule 1732(b) (no costs for postage).

Denial of unjustifiably high reserve. Petitioner requests \$10,000 for a reserve amount, without itemized estimated costs. The amount requested, without further explanation, creates a presumption that the estate is not in a condition to be closed, which must be overcome by evidence showing the reserve is justified and need not delay distribution of the estate. The following is from a well-respected treatise on this issue:

Although not required, it is advisable to include an estimate of closing expenses. Examples of estimated closing expenses include any estate taxes, interest, and penalties that will be paid after distribution; the cost of preparing final income tax returns for the estate; the cost of transferring securities to the distributees; the cost of reasonable storage, delivery, and shipping for distribution of tangible personal property to the distributees; and the cost of certifying and recording copies of the decree of distribution of real property. See Prob C §§11642, 11750, 11753–11754. Some courts require more detailed information about the nature and amount of the anticipated closing expenses. See, e.g., San Francisco Ct R 14.35(l)(3).

The personal representative may also wish to retain funds for any undisclosed or unknown liabilities, especially tax deficiencies later assessed against the decedent or the estate. Apart from the reserve for estate taxes, there are some drawbacks to setting the reserve aside specifically for possible future tax deficiencies. Such action indicates—especially if the reserve is a substantial one—misgivings about the validity of the estate's position. The reserve might also be considered a trust fund for payment of the taxes, thus extending the statutory period for assessment. See *U.S. v Rose* (3d Cir 1965) 346 F2d 985, 989.

In addition, if the personal representative requests that the court allow for a substantial reserve (or even a reserve of more than \$5,000), some courts will refuse to characterize the distribution as "final" and will require additional accounts (or waivers) before permitting distribution of any balance of the reserve. For example, in Contra Costa County, the court will not characterize the distribution as final if the personal representative requests more than a nominal reserve. If the entire estate will be distributed to a single beneficiary, such as a trust established during the decedent's lifetime, a reserve may not be necessary.

(Cal. Dec. Est. Pract. (CEB 2023), §31.66.)

Accordingly, if the probable tax liability of the estate is so high as to require the requested amount in reserve, it is recommended the Court deem this estate not to be in a condition to be closed. At the very least, the Court should require a final accounting and petition for distribution be set a reasonable time after the last year's tax liability is due.

No Proposed Order. A proposed order must be submitted with relief that matches that requested in the petition. (Local Rule 1724(b), subd.(d).) Order must list every beneficiary and detail the shares to each, and must expressly state limitations or

conditions on distribution. (Prob. Code, § 11603.) IF whereabouts of a distributee are unknown, the Proposed Order must provide for alternate distributes, and detail the share to which they are entitled per PC § 11603(c). It is highly recommended petitioner use Local Form SC-6029. No such document was filed with the court.

Judges

Judge James F. Rigali

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